

Falcon Distribution (Revised)

Source-backed analysis. Assumptions remain subject to diligence.

Executive summary

Revision applied per 2026-09-01 notice: Suite 002 is now active with a \$225 monthly rent increase; new certified roll date 2026-09-01. Initial sizing rate increased by 75 bps to 7.75%; cap rate increased by 25 bps to 6.50%. All other rules unchanged.

Revised UW results: Underwritten NOI before reserves \$905,100; NCF after reserves \$902,700. At a 6.50% cap, value is \$13.92 million. With 30-year amortization and 7.75% sizing rate, DSCR now constrains maximum loan to about \$8.40 million. After 1% origination, \$45k closing, and \$7.80 million payoff, net cash out is approximately \$0.47 million.

Metric	Value
Units (occupied/total)	7 / 8
Area SF (occupied/total)	154,060 / 176,060
Annual in-place rent (occupied)	\$1,230,300
Underwritten EGI	\$1,338,025
UW NOI (before reserves)	\$905,100
UW NCF (after reserves)	\$902,700
Cap rate	6.5000%
Indicated value	\$13,924,619
Maximum loan	\$8,400,194
Net cash out	\$471,192

What changed and why

Revised certified rent roll (2026-09-01) supersedes prior roll; Suite 002 moved from active to active with a \$225 increase in scheduled monthly rent, raising all-suite monthly GPR from \$116,900 to \$117,125 and annual GPR from \$1,402,800 to \$1,405,500.

Revision notice directed increasing the INITIAL SIZING RATE by 75 bps (from 7.00% to 7.75%) and the capitalization rate by 25 bps (from 6.25% to 6.50%). These changes reduce value and increase the annual debt constant, lowering DSCR-constrained proceeds.

Item	Prior	Revised
Certified roll date	2026-08-31	2026-09-01
All-suite monthly GPR	\$116,900	\$117,125
Annual GPR	\$1,402,800	\$1,405,500
Cap rate	6.2500%	6.5000%
Sizing rate	7.0000%	7.7500%
UW NOI (pre-reserves)	\$902,612	\$905,100
Value (NOI/Cap)	\$14.44MM	\$13.92MM
Maximum loan	\$9.02MM	\$8.40MM
Net cash out	\$1.085MM	\$0.471MM

Property and suite mix

Type mapping unchanged: A = Small, B = Standard, C = Large. Counts unchanged. Unit 001 monthly rent remains \$14,450 per executed lease and roll. Suite 002 monthly rent increased by \$225 to \$14,825 and is active as of 2026-09-01; other suites unchanged.

Suite	Type	Area SF	Status	Monthly rent	Expiration
001	Small	21,880	active	\$14,450	2029-08-31
002	Standard	22,000	active	\$14,825	2029-08-31
003	Large	22,210	active	\$14,875	2029-08-31
004	Small	21,880	active	\$14,450	2029-08-31
005	Standard	22,000	active	\$14,600	2029-08-31
006	Large	22,210	active	\$14,875	2029-08-31
007	Small	21,880	active	\$14,450	2029-08-31
008	Standard	22,000	vacant	\$14,600	2029-08-31

Lease and occupancy analysis

Occupancy by units and area remains 7 of 8 (87.5%) and 154,060 SF of 176,060 SF (~87.5%). No near-term rollover; all expirations remain 2029-08-31.

Archive roll still shows prior rates for comparison only; revised certified roll controls as of 2026-09-01.

As-of date	Occupied	Vacant	Unit occupancy	Area occupancy
2026-09-01	7	1	87.5%	87.5%
2026-08-31 (prior)	7	1	87.5%	87.5%

Historical versus underwritten financials

T12 actuals unchanged. Revised UW uses new GPR \$1,405,500, 5% loss, \$2,800 other income, mgmt 3%, reserves \$300/suite.

UW NOI before reserves increases modestly to \$905,100 vs. \$902,612 prior; NCF after reserves \$902,700.

Item	T12 actual	Underwritten (revised)
Collections / EGI	\$1,262,520	\$1,338,025
Taxes	(\$147,294)	(\$147,294)
Insurance	(\$49,098)	(\$49,098)
Other opex + mgmt	(\$196,392) + mgmt	(\$236,533 incl. mgmt)
NOI (pre-reserves)	\$869,736	\$905,100
Reserves	n/a	(\$2,400)
NCF (after reserves)	n/a	\$902,700

Debt sizing and sources/uses

Constraints unchanged: 65% LTV, 1.25x DSCR, 9% debt yield. Sizing rate now 7.75% raises the annual debt constant to ~8.5969%.

At revised value \$13.92MM, 65% LTV is ~\$9.05MM. DSCR at 7.75% limits to ~\$8.40MM; debt yield is ~\$10.03MM. Maximum loan remains DSCR-constrained at ~\$8.40MM.

Sources/uses at revised proceeds: loan ~\$8.4002MM; less 1% origination, \$45k closing, \$7.80MM payoff → net cash out ≈ \$0.471MM.

Constraint	Result
LTV (65% of \$13.92MM)	\$9.05MM
DSCR (NCF/1.25/constant)	\$8.40MM
Debt yield (NCF/9%)	\$10.03MM
Maximum loan	\$8.40MM
Net cash out	\$0.471MM

Risks and diligence status

Risk assessments unchanged except sizing floor vs. note: floor binding remains present and the higher sizing rate further tightens DSCR. Pending-in-occupancy headline risk persists conceptually but certified detail controls.

Refinance shortfall remains absent at the stated \$7.8MM payoff; there is still positive cash out, albeit smaller.

Risk	Assessment
Pending in occupancy	Present (manager headline only)
Near-term rollover	Absent
Missing insurance	Absent
Capital in opex	Absent
Unsigned rent change	Absent
Temporary free rent	Absent
Sizing floor binding	Present (higher sizing rate)
Refinance shortfall	Absent given \$7.8MM payoff; positive net cash out

Source notes

Revision notice: 2026-09-01 roll supersedes; Suite 002 +\$225 monthly; raise initial sizing rate +75 bps; raise cap rate +25 bps.

Revised certified rent roll 2026-09-01: unit counts, areas, statuses, monthly rents, expirations.

Original instructions and other source documents remain as previously cited and unchanged.

Document	Key points
revision-notice.pdf	New roll and rate/cap adjustments; all else unchanged
rent-roll-revised.xlsx	As-of 2026-09-01 detail
underwriting-instructions.pdf	UW framework and sizing constraints
operating-statement.pdf	T12 expenses and NOI
manager-cover.pdf	Type mapping; occupancy caveat
insurance.pdf	Policy limit and dates